



Enforcement Rules of Membership Regulation

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Enforcement Rules of Membership Regulation

§1. Purpose

The purpose of this Enforcement Rules is to stipulate the matters necessary for the enforcement of the Membership Regulation. (Amended on May 6, 2020)

§2. Definitions

The terms used in this Enforcement Rules shall have the same meanings as those given to them in the Membership Regulation (hereinafter referred to as the “Regulation”). (Amended on May 6, 2020)

§3. Application for Membership

(1) The applicant who seeks the approval of application for membership pursuant to [§5(1)] of the Regulation shall submit to the Exchange the application for membership in [Annex: Form 1] and documents attached thereto. (Amended on May 6, 2020)

(2) [Deleted on May 6, 2020]

(3) Pursuant to [§5(7)] of the Regulation, in the case where a person who wish to become a collective investment securities member falls under any of the following subparagraphs, the person shall be deemed not to correspond to those who are eligible to apply for the membership in accordance with [§5(2)] of the Regulation. [July 20, 2023]

1. Where, in the process of reviewing the details of an application for the approval of investment dealing business or investment brokerage business in accordance with Article 13(2) of the Financial Investment Services and Capital Market Act (hereinafter referred to as the “Act”) for collective investment securities noted in Article 15(2)6 of the Enforcement Decree of the Financial Investment Services and Capital Market Act (hereinafter referred to as the “Enforcement Decree of the Act”), an examination necessary to participate in trading in the stock market opened by the Exchange has not been conducted; or

2. Where, due to approval conditions, etc. under Article 13(4) of the Act, it is not possible to participate in trading of all or part of the collective investment securities of ETFs noted in Article 234 of the Act.

§3-2. Physical Facility Requirement

Pursuant to [§6(3)] of the Regulation, an entity intending to become a member shall meet each of the following items in connection with facilities such as computer facilities, etc.:

3. To be equipped with the computer facilities and telecommunication facilities that are necessary for the reliable and efficient execution of transactions in the markets established by the Exchange (hereinafter referred to as the “Exchange market”). However, if the Exchange accepts, it may be substituted by a plan, etc., and in such case, the implementation status of the plan shall be reported to and validated by the Exchange before the beginning of the trading; and
4. To have secured physical spaces such as the offices, etc. that are required to carry out various tasks such as trading in the Exchange market.

[May 6, 2020]

§3-3. Human Resource Requirement

Pursuant to [§6(3)] of the Regulation, an entity intending to become a member shall meet each of the following items in relation to the expertise and fidelity of human resources necessary to perform tasks:

1. To be adequately staffed with the employees corresponding to any of the following items in order to carry out tasks related to trading in the Exchange market and perform the pertinent functions as a member:
 - a. Person who has specific qualifications related to the tasks concerned (including the tasks incidental thereto: the same hereinafter) or who has at least five (5) years of work experiences in performing the concerned tasks;
 - b. Person who has considerable professional knowledge and competence subsequent to the completion of professional training program (graduate school etc.) or study of courses required to perform the tasks concerned, and who has at least two (2) years of work experiences in performing the task concerned;
 - c. Person who has substantial basis to be considered to have equivalent experience or capabilities to the persons noted in items 1a and 1b above.
2. To assign specialists appropriate for the accomplishment of such tasks as trade execution and settlement, computer system management, risk management and internal control, compliance and audit, etc. taking into account the contents, coverage and volume of the tasks.

[May 6, 2020]

§3-4. Social Confidence Requirements

(1) Pursuant to [§6(3)] of the Regulation, an entity intending to become a member shall meet requirements in each of the following subparagraphs in connection with the social confidence: (Amended on July 20, 2023)

1. The corporations, etc. [including the branches or business offices of foreign financial investment companies specified in Article 12(2)1 of the Act] that have submitted applications for membership and their directors, largest shareholders, etc. (referring to the largest shareholder specified in [§12(2)6] of the Act, and in the case of the branches and business offices of foreign investment companies, it refers to the foreign financial investment company specified in [§12(2)6] of the Act: the same hereinafter) shall not correspond to the cases stated in any of the following items in relation to trading of securities and derivative products for a one (1) year period prior to the application date for the membership.

a. Cases where a judgment has been finalized or is being executed, as a result of having being sentenced to a fine or a severer sentence pursuant to the Korean or foreign financial laws; or

b. Cases where executive officers, largest shareholders, etc. of the concerned corporations, etc. have received disciplinary actions such as suspension from exercise of executive authority or suspension from office (in case of the concerned corporations, etc. or a corporation that is the largest shareholder, the suspension of business/operation) or severer actions by the supervisory authority pursuant to the Act (including the cases of being imposed of disciplinary actions equivalent thereto by the Exchange in accordance with the business regulations of the Exchange), or are under such disciplinary period. However, exceptions may be made in case a period longer than two (2) times the disciplinary period has elapsed since the date of receiving disciplinary action

2. In the case where there has been voluntary withdrawal from any of types of membership of the Exchange within three (3) years prior to the date of application for membership, it should be acknowledged that the reason for the withdrawal was not to evade the obligation of a member or undermined the sound market practice.

3. In the case where there has been an expulsion, suspension of all or part of transactions, or other similar disciplinary measures in accordance with the business standards of multilateral trading companies within three (3) years prior to the date of application for membership, it shall be recognized that the reason for such disciplinary measures does not harm sound market order. [February 27, 2025]

(2) In the case stated in any of followings or equivalent thereto, the Exchange may postpone the review for membership until the time such case is validated:

1. Cases where criminal proceedings or investigation procedures, etc. are undertaken by such agencies as the Prosecutors' Office, Fair Trade Commission, Financial Service Commission, Financial Supervisory Service and Exchange against the concerned company, etc., its executive officers or largest shareholder, etc. and the matters subject to such investigation are deemed to have a significant impact on the review of membership; and
2. Cases where the merger, dissolution, closedown of business, or transfer of business, etc. that may have material influence on the nature of company is in progress.

[May 6, 2020]

§4. Financial Requirements for Concurrently-run Financial Investment Business Entities (Amended on February 2, 2009)

Pursuant to the proviso to [§7] of the Regulation, the financial requirements for applicants who are the concurrently-run financial investment business entities shall be each of the following subparagraphs: (Amended on February 2, 2009; December 30, 2015; September 12, 2016; May 6, 2020)

1. For banks [referring to the banks under the 'Banking Act' (including branches of foreign banks authorized pursuant to Article 58 of the same Act), the Korea Development Bank under the 'Korea Development Bank Act', the Industrial Bank of Korea under the 'Industrial Bank of Korea Act', the Export-Import Bank of Korea the 'Export-Import Bank of Korea Act', the Nonghyup Bank under the 'Agricultural Cooperatives Act' and the National Federation of Fisheries Cooperatives under the 'Fisheries Cooperatives Act'; the same hereinafter)], the management guidance ratios shall be higher than those under Article 26 of the Regulations on Supervision of Banking Business.
2. For merchant banks, the business guidance ratios shall be higher than those under Article 8-41 of the Regulations on Financial Investment Business.

§5. [Deleted on February 2, 2009]

§6. Request for Membership Withdrawal

Any member who applies for the approval of membership withdrawal pursuant to [§10(1)] of the Regulation shall submit the application for membership withdrawal (including the documents to be attached thereto) noted in [Annex: Form 2]. (Amended on August 3, 2020)

§6-2. Date of Withdrawal and Scope of Responsibility of Member Applying for Voluntary Withdrawal

(1) The term “period specified in the Enforcement Rules” in [§10(2)1] of the Regulation shall be ten (10) trading days (including the date of withdrawal application).

(2) The term “scope specified in the Enforcement Rules” in [§10(3)] of the Regulation shall mean the use of the following financial resources necessary to compensate for losses incurred from the settlement failure of a clearing member:

1. Balance of the joint compensation fund of a voluntary withdrawal member as of the date of withdrawal; and
2. Additional contribution made to the joint compensation fund upon request by the Exchange after the date of withdrawal.

[May 6, 2020]

§7. Application for Membership Conversion

(1) Any member who applies for the membership conversion pursuant to [§16(1)] of the Regulation shall submit to the Exchange the application for membership conversion (including the documents to be attached thereto) noted in [Annex: Form 3]. (Amended on August 3, 2020)

(2) [Deleted on May 6, 2020]

§8. Scope of Market Participation by Debt Securities Members, etc. Who Are Concurrently-run Financial Investment Business Entities

Pursuant to [§20(2)] of the Regulation, the scope of debt securities or the scope of currency and interest rate products shall be classified in each of following subparagraphs: (Amended on May 6, 2020; August 3, 2020)

1. Debt securities: The debt securities eligible for the trading in the debt securities market pursuant to [§4(1)6] of the KOSPI Market Business Regulation. Provided, That, the Exchange may determine differently the scope of trading participation of the debt securities members who are the concurrently-run financial investment business entities considering the conditions of the permit for investment dealing business or investment brokerage business, the scope of concurrent business, etc., received from the Financial Services Commission,

; and

2. Currency products: The Exchange-traded derivatives that are traded in the currency derivatives markets pursuant to [§3(2)3] of the Derivatives Market Business Regulation.

[Wholly amended on September 25, 2015]

§8-2. Scope of Trading Participation by Collective Investment Securities Members

Pursuant to [§20(4)] of the Regulation, collective investment securities members shall be entitled to participate in trading of collective investment securities falling under each of the following subparagraphs: (Amended on April 28, 2026)

1. Subparagraphs 1, 2(a), 3, 5, and 6 of [§99] of the KOSPI Market Listing Regulation; and
2. [§3(1)1] of the Regulations on Market Operation of Class X Beneficiary Certificates of Multiple Class Fund; and
3. Subparagraphs 4, and 5 of [§85-2] of the KOSDAQ Market Listing Regulation

[July 20, 2023]

§9. Reporting of Conclusion, Amendment and Termination of Agreement for Settlement Entrustment

Pursuant to [§22(3)] of the Regulation, when a member intends to enter into an agreement for settlement entrustment or amend or terminate an existing agreement for settlement entrustment, the member shall report the details concerned to the Exchange by fifteen (15) days prior to the date of conclusion, amendment or termination of the agreement. (Amended on August 3, 2020)

§9-2. Cap Periods

(1) The term “period specified in the Enforcement Rules” in [§22-2] of the Regulation shall be ten (10) trading days (hereinafter referred to as the “cap period”) from the day when a settlement failure by the defaulting clearing member has occurred in the securities markets, etc. (Amended on August 3, 2020; February 27, 2025)

(2) In cases where another settlement failure occurs in the securities markets, etc. where a settlement failure has occurred during the cap period, the Exchange may extend the cap period within ten (10) trading days. (February 27, 2025)

(3) In cases where the cap period commences or is extended, the Exchange shall notify such fact to all clearing members.

[December 30, 2015]

§9-3. Management of Basic Joint Compensation Fund

(1) The term “date specified in the Enforcement Rules” in [§23(1)1] of the Regulation means the day when the estimated total contribution amount of the joint compensation fund that is calculated on a daily basis to check the appropriateness of the total accumulation amounts of the joint compensation fund of the securities market and the derivatives market [referring to the amount obtained by subtracting the amount of settlement reserve accumulated pursuant to [§54(3)] of the Articles of Incorporation from the amount calculated by the stress testing carried out in each of the securities market and the derivatives market; the same hereinafter] is greater than the amount calculated by multiplying the size of the total accumulation amount of the joint compensation fund of each market by the threshold (referring to the value obtained by deducting the rates separately set by the Exchange from 100%). (Amended on April 25, 2019)

(2) The term “period specified in the Enforcement Rules” in [§23(1)1] of the Regulation means the period from the date of calculation of the basic joint compensation fund to 5:00 pm of the following business day. Provided, that, where the board of directors of the Exchange deems it necessary, such period may be determined differently. (Amended on April 25, 2019)

(3) The term “amount specified in the Enforcement Rules” in items a and b of [§23(4)1] of the Regulation shall be the amount obtained by multiplying the total estimated amount of accumulation of the joint compensation fund by the buffer ratio (referring to a value set by the Exchange at 100% or higher considering the market situation, etc.). In such cases, the results of the stress testing shall be reported to the Risk Management Committee of the Exchange, and the details on the conduct of the test and reporting of the results thereof shall be in compliance with what is separately stipulated. [November 14, 2014] (Amended on December 30, 2015; September 20, 2018; April 25, 2019)

(4) In cases where a clearing member makes contributions to the basic joint compensation fund with the government bonds and monetary stabilization bonds, the amount of contribution shall be appraised by the substitute prices under [§48] and [§49] of the Enforcement Rules of Securities Market Clearing and Settlement Business Regulation. (Amended on December 30, 2015; April 25, 2019; February 27, 2025)

(5) When adjusting the size of total accumulation of the joint compensation fund for each market, the Exchange shall calculate the amount of contributions to the basic joint compensation for each clearing member of each market, and notify the clearing members of each market of the amounts of contribution. [September 20, 2018] (Amended on April 25, 2019)

(6) The deposit or withdrawal of the basic joint compensation fund subsequent to the changes in the amount of a clearing member's contribution to the basic joint compensation funds caused by the changes in substitute prices, etc. shall be made in accordance with the manner noted in each of the following subparagraphs: (Amended on December 30, 2015; September 20, 2018; April 25, 2019)

1. In the event that the amount of the basic joint compensation fund contributed by the clearing member falls short of the amount of the most recently calculated basic joint compensation fund due to the changes in substitute prices, the concerned clearing member shall deposit the amount equivalent to the shortage with the Exchange by 5:00 pm of the day; and

2. [Deleted on April 25, 2019]

3. When the amount of the basic joint compensation fund contributed by the clearing member exceeds the amount of contributions to be made, the concerned clearing member may withdraw the amount equivalent to the excess amount.

(7) The minimum ratio of basic joint compensation fund that a clearing member must contribute in cash pursuant to [§23(9)] of the Regulation of the Regulation shall be as follows: [September 22, 2025]

1. Securities market clearing member: 25% of each member's basic joint compensation fund contribution; and [September 22, 2025]

2. Derivatives market clearing member: 5% of each member's basic joint compensation fund contribution. [September 22, 2025]

[December 27, 2010]

§10. Operation of Basic Joint Compensation Funds

(Amended on December 30, 2015)

(1) In the case of operating the basic joint compensation funds contributed in cash, the Exchange shall operate the basic joint compensation fund of the securities markets separately from the basic joint compensation fund of the derivatives market. (Amended on February 2, 2009; December 27, 2010; December 30, 2015)

(2) In cases where the Exchange operates the basic joint compensation funds contributed in cash by depositing them in banks or securities finance company among the ways specified in each subparagraph of Article 362(5) of the Enforcement Decree of the Act, the Exchange shall avoid depositing the funds in a single bank or the securities finance company in accordance with the criteria that the Exchange separately stipulates. [November 14, 2014] (Amended on December 30, 2015; May 6, 2020; July 20, 2023)

(3) In the case of operating the basic joint compensation funds contributed in cash by depositing them in banks pursuant to Article 362(5)4 of the Enforcement Decree of the Act, the funds shall be deposited in the bank whose capital ratio according to the Bank of International Settlements is 8/100 or higher. (Amended on February 2, 2009; December 27, 2010; December 30, 2015; May 6, 2020)

(4) When making proportional distribution of the proceeds accrued from the operation of basic joint compensation funds contributed in cash, the Exchange shall calculate the cash contribution ratios pursuant to [§23(6)] of the Regulation while taking into consideration the amount and the period of contribution that each clearing member made to the basic joint compensation funds in cash during the period when the proceeds accrued. (Amended on December 27, 2010; December 30, 2015; May 6, 2020)

§11. Contributions to Basic Joint Compensation Funds by Debt Securities Members (Amended on February 2, 2009; December 30, 2015)

(1) Pursuant to [§24(3)] of the Regulation, the debt securities members shall make contributions to the basic joint compensation fund in the amount noted in each of the following subparagraphs: (Amended on February 2, 2009; December 30, 2015; May 6, 2020)

1. For the government bond dealers under subparagraph 2 of [§55] of the KOSPI Market Business Regulation; the amount equivalent to 50/100 of the basic contribution amount specified in [§24(1)1] of the Regulation; and
2. For the debt securities members other than those noted in paragraph (1); the amount equivalent to 25/100 of the basic contribution amount specified in [§24(1)1] of the Regulation.

(2) Notwithstanding paragraph (1), paragraph (1) shall not apply in the case where a debt securities member who is a clearing member is also an equity securities member or a collective investment securities member. [February 2, 2009] (Amended on August 3, 2020; February 27, 2025)

§11-2. Amount of Re-contributions to the Basic Joint Compensation Funds, Etc.

(1) “By the date set in the Enforcement Rules” in [§24-2(2)] of the Regulation shall be by 4:00 pm on the 3rd trading day counting from the day when the Exchange’s request for re-contribution was received. Provided, that, where the board of directors of the Exchange deems it necessary, the Exchange may set such period differently.

(2) The amount of re-contributions to the basic joint compensation funds that clearing members are obliged to make pursuant to [§24-2(4)] shall be classified in each of the following subparagraphs, according to whether or not the amount of losses incurred

from settlement failures was confirmed during the cap period at the time when the Exchange requests the clearing members to make re-contributions to the basic joint compensation funds. (Amended on April 25, 2019)

1. Where the losses are confirmed: The amount is calculated by subtracting the balance of joint compensation fund as of the last day of the cap period from the amount obtained by applying *mutatis mutandis* [§24(1) or (2)] of the Regulation. In such cases, the “immediately preceding the calculation date of the basic joint compensation fund” shall be construed as “preceding the last day of cap period”.
2. Where the losses are not yet confirmed: The amount is calculated by applying *mutatis mutandis* [§24(1) or (2)] of the Regulation. In such cases, the “immediately preceding the calculation date of the basic joint compensation fund” shall be construed as “preceding the last day of cap period”.
- (3) In the case of falling under subparagraph 2 of paragraph (2), the Exchange shall manage the basic joint compensation funds re-contributed by clearing members separately from the joint compensation fund before the re-contributions. Provided, that, where the loss that belongs to the cap period is confirmed, the loss shall be compensated using the joint compensation fund before the re-contributions, and the remaining joint compensation fund shall be managed combined with the re-contributions to the basic joint compensation funds.

[December 30, 2015]

§12. Reporting of Financial Conditions

(1) Pursuant to [§30(1)] of the Regulation, members (excluding the concurrently-run financial investment business entities) shall submit the documents concerning the financial conditions according to the categories noted in each of the following subparagraphs to the Exchange within the period specified in the relevant subparagraphs: (Amended on February 2, 2009; June 9, 2010; September 12, 2016; August 3, 2020)

1. Documents on the closing account pursuant to [§3-67] of the Regulations on Financial Investment Business: Within three (3) months of the end of the relevant fiscal year.
2. Quarterly business report and monthly business report pursuant to Article 33 of the Financial Investment Services and Capital Markets Act, Article 36 of the Enforcement Decree of the Financial Investment Services and Capital Markets Act and Article 3-66 of the Regulations on Financial Investment Business: In the case of a quarterly business report, within forty-five (45) days of the end of each quarter. The monthly business report shall be submitted by the end of the next month.

(2) In cases where a bank is a currency-interest rate derivatives member (limited to the case where it is a clearing member), the relevant bank shall submit the monthly business report stipulated in Article 43-2(1) of the Banking Act or Article 98(1) of the Regulations on Supervision of Banking Business to the Exchange by the end of the following month. [September 12, 2016]

(3) When disclosing the business matters pursuant to the relevant laws or the regulations of the Financial Services Commission, the members who are the concurrently-run financial investment business entities shall report the details of the relevant disclosure to the Exchange without delay. (Amended on February 2, 2009; September 12, 2016)

(4) In cases where a member has submitted the reports pursuant to paragraphs (1) through (3) using the Financial INformation Exchange System (“FINES”) operated by the FSC and the Exchange can access the report submitted through FINES, it shall deem that the relevant member has submitted the relevant report to the Exchange. (Amended on August 3, 2020)

§12-2. Postponement or Cancellation of Measures against Unsatisfactory Financial Conditions, Etc.

The criteria for taking measurements, etc. under [§37(5)] of the Regulation shall be as specified in [Annex].

[September 25, 2015]

§13. Plans for improvement of Financial Conditions

The improvement plan for financial condition submitted by the member who received the notification of occurrence of cause for member disciplinary measure pursuant to [§38(2)] of the Regulation shall include information noted in each of the following subparagraphs:

1. The reasons for failing to meet the financial requirements and progresses made;
2. Detailed action plan to resolve the reasons for failing to meet the financial requirements; and
3. In addition, the documents that the Exchange deems necessary in relation to the relevant improvement plan.

[February 1, 2012]

§14. Application for Official Objection

In cases where a member who received the notification of disciplinary measure pursuant to [§36] of the Regulation files an official objection pursuant to [§38(4)] of the

Regulation, an application containing information noted in each of the following subparagraphs shall be submitted:

1. Person filing the objection;
2. Main points of member disciplinary measure;
3. Factual relationship about the pertinent causes for member disciplinary measure;
4. Reasons for filing an official objection; and
5. In addition, documents that the Exchange deems them necessary in relation to the relevant official objection.

[February 1, 2012]

§15. Scope of Trading of Debt Securities by the Government, etc. (Amended on February 2, 2009)

Pursuant to [§41(2)] of the Regulation, the scope of debt securities trading in which the Government, etc. may participate shall be as follows: (Amended on February 2, 2009; November 28, 2019)

1. For the Government and Bank of Korea: Trading in the KRX KTB and trading of Repos specified in the KOSPI Market Business Regulation; and
2. For securities finance companies and Repo trading participants: Trading of Repos specified in the KOSPI Market Business Regulation.

(Wholly amended on September 1, 2005)

§16. Public Opinion Gathering

Public opinion gathering pursuant to [§41-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations on the Management Regulation.

[May 6, 2020]

§17. Exceptions to Application of Member Admission Requirements

Member admission requirements stipulated in [§3-2] through [§3-4] shall not apply to entities designated as primary dealers and preliminary primary dealers pursuant to the Regulation on the Issuance of Treasury Bonds and the Operation of Primary Dealers of Treasury Bonds established by the Ministry of Economy and Finance.

[May 6, 2020]

ADDENDA

(January 24, 2005)

§1. Effective Date

This Enforcement Rules shall become effective on the day the Exchange is incorporated

§2. Use of Substitute Securities When Making Contribution to Joint Compensation Funds

In cases where the futures member uses the government bonds or bonds issued by the company established under the special laws to make contribution to joint compensation fund pursuant to [§6(5)] of Addendum (dated January 21, 2005) of the Regulation, the provisions of [§53] and [§55] of the Futures Market Business Regulation shall apply to the matters concerning the deposit and withdrawal of bonds and bond prices.

(3) Use of Bank Payment Guarantee When Making Contribution to Joint Compensation Funds

In cases where the futures member uses the bank payment guarantee to make contribution to joint compensation fund pursuant to [§6(5)] of Addendum (dated January 21, 2005) of the Regulation, the payment guarantee shall have been issued by the bank whose capital ratio to BIS is 8/100 or higher and the guarantor bank shall be able to release the payment within three (3) hours from the proposed payment time.

ADDENDUM

(September 1, 2005)

This Enforcement Rules shall become effective on September 1, 2005.

ADDENDUM

(February 2, 2009)

This Enforcement Rules shall become effective on the date when the Financial Investment Services and Capital Markets Act is put into effect.

ADDENDA

(June 9, 2010)

§1. Effective Date

This Enforcement Rules shall become effective on June 9, 2010.

§2. Exception in Submission of Monthly Business Report

The requirement for submission of monthly business report pursuant to the amended provision of [§12(1)2] shall apply starting with the month arriving after the effective date of this Enforcement Rules.

ADDENDUM (December 27, 2010)

This Enforcement Rules shall become effective on January 1, 2011.

ADDENDUM (December 22, 2011)

This Enforcement Rules shall become effective on December 23, 2011.

ADDENDUM (February 1, 2012)

This Enforcement Rules shall become effective on March 1, 2012.

ADDENDUM (January 3, 2014)

This Enforcement Rules shall become effective on January 3, 2014.

ADDENDUM (November 14, 2014)

This Enforcement Rules shall become effective on November 14, 2014.

ADDENDUM (September 25, 2015)

This Enforcement Rules shall become effective on September 25, 2015.

ADDENDA
(December 30, 2015)

§1. Effective Date

This Enforcement Rules shall become effective on December 30, 2015.

§2. Exception to the Period of Contribution to the Basic Joint Compensation Fund

Notwithstanding the amended provisions of [§9-3(1)] (Formerly [§9-2(1)]), the period of contribution to the basic joint compensation fund for the first quarter that arrives after the effective date of this Enforcement Rules shall be thirty (30) days from the first day of the concerned quarter.

ADDENDUM
(March 3, 2016)

This Enforcement Rules shall become effective on March 3, 2016.

ADDENDUM
(September 12, 2016)

This Enforcement Rules shall become effective on September 19, 2016.

ADDENDUM
(September 20, 2018)

This Enforcement Rules shall become effective on October 1, 2018. Provided, That the amended provisions of the latter part of [§9-3(5)] concerning the allocation ratio for each clearing member shall become effective on the date set by the Exchange separately by taking into consideration the time required to develop the computer programs, etc.

ADDENDUM
(April 25, 2019)

This Enforcement Rules shall become effective on May 1, 2019.

ADDENDUM
(Regulation No. 1755 / November 28, 2019)

This Enforcement Rules shall become effective on December 2, 2019.

ADDENDUM
(Regulation No. 1808 / May 6, 2020)

This Enforcement Rules shall become effective on May 8, 2020.

ADDENDUM
(Regulation No. 1862 / August 3, 2020)

This Enforcement Rules shall become effective on August 7, 2020.

ADDENDUM
(Regulation No. 2301 / July 20, 2023)

This Enforcement Rules shall become effective on July 24, 2023.

ADDENDUM
(Regulation No. 2301 / February 27, 2025)

This Enforcement Rules shall become effective on March 4, 2025.

ADDENDUM
(Regulation No. 2356 / September 22, 2025)

This Enforcement Rules shall become effective on November 3, 2025.

ADDENDUM
(Regulation No. 2437 / April 28, 2026)

This Enforcement Rules shall become effective on May 4, 2026.

ANNEXES & FORMS

[Annex] Criteria for Measures against Unsatisfactory Financial Conditions, Etc.

(Amended on March 3, 2016; May 6, 2020; August 3, 2020)

Criteria for Measures against Unsatisfactory Financial Conditions, Etc.

(Relating to [§12-2])

1. Disciplinary Measures against Members

(a) The Exchange shall make decisions on the disciplinary measures to be taken against members by taking into consideration market conditions, business status and financial conditions, and the contents of the plan for financial condition improvement, etc.

(b) The criteria for disciplinary measures against members are as follows:

Disciplinary Measures	Criteria for Measures
Suspension of whole or part of trading privileges up to 6 months	• In the case of falling under subparagraph 1(a) of Annex 10-2 of the Regulations on Financial Investment Business. Provided, That, for the concurrently-run financial investment business entities, the case of failing to meet the management guidance ratios pursuant to each subparagraph in [§4]. • In cases where the equity capital is less than the amount of equity capital that is specified in [§7/2] of the Membership Regulation, and the amount of shortage is greater than 50/100 of the amount of equity capital specified in the Membership Regulation. • In cases where an event that causes the failure to meet the financial requirements and is subject to notice of warning occurred within 6 months after receiving a notice of warning. • In the case of failing to resolve the causes for the unsatisfactory financial conditions by the end of the period for improvement after receiving a warning notice.
Notice of warning	• In cases where the equity capital is less than the amount of equity capital that is specified in [§7/2] of the Membership Regulation, and the amount of shortage is greater than 10/100 and less than 50/100 of the amount of equity capital specified in the Membership Regulation. • In cases where an event that causes the failure to meet the financial requirements and is subject to notice of attention occurred within 6 months after receiving a notice of attention. • In the case of failing to resolve the causes for the unsatisfactory financial conditions by the end of the period for improvement after receiving a notice of attention.
Notice of attention	• In cases where the equity capital is less than the amount of equity capital that is specified in [§7/2] of the Membership Regulation, and the amount of shortage is less than 10/100 of the amount of equity capital specified in the Membership Regulation.

* Note.

1. In addition to the above disciplinary measures against members, measures such as the expulsion from membership and the imposition of member fine not more than KRW 1 billion shall be governed by [§36] of the Regulation.

2. The criteria for disciplinary measures against members in relation to ‘equity capital’ shall not apply to the concurrently-run financial investment business entities.

2. Postponement of Disciplinary Measures against Members

(a) The Exchange may postpone the measures to be taken against members by comprehensively considering the concreteness, validity and feasibility of the plan for financial condition improvement of the member.

(b) In the case of postponing the disciplinary measure, the Exchange shall grant the grace period of the measure against the member within the limit of two (2) months (hereinafter referred to as “the grace period”), unless there is any particular reason.

(c) The member concerned shall submit materials verifying that the causes for unsatisfactory financial conditions were eliminated, by the end of the grace period.

(d) When it is believed that it is clearly difficult for the member to recover from the unsatisfactory financial condition during the grace period, the Exchange may terminate the grace period granted and take the disciplinary measure postponed.

(e) In cases where the member fails to resolve the unsatisfactory financial conditions by the end of the grace period, the Exchange shall take the disciplinary measure postponed.

(f) When postponing the disciplinary measure against a member, the Exchange shall notify the member of followings:

- (i) The grace period; and
- (ii) The matters mentioned in items d and e.

3. Granting the Period for Improvement of Financial Conditions

(a) In the case of taking disciplinary measures of notice of warning or attention, the Exchange shall grant a grace period for improvement of financial condition within the limit of six (6) months unless there is any particular reason.

(b) The member shall submit to the Exchange materials verifying that the causes for unsatisfactory financial conditions were eliminated, by the end of the period for improvement of financial condition.

[Annex: Form 1] Application for Membership

(Amended on February 2, 2009; December 22, 2011; November 14, 2014; September 25, 2015; August 3, 2020; July 20, 2023)

Application for Membership
1. Trade name 2. Address of head office 3. Names, date of birth and addresses of representative and executive officers 4. Equity capital 5. Type of membership sought • Securities membership(): Clearing membership(), Non-clearing membership() • Equity securities membership(): Clearing membership(), Non-clearing membership() • Collective investment securities membership(): Clearing membership(), Non-clearing membership() • Debt securities membership() • Derivatives membership(): Clearing membership(), Non-clearing membership() • Equity derivatives membership(): Clearing membership(), Non-clearing membership() • Currency-Interest rate derivatives membership(): Clearing membership(), Non-clearing membership() 6. Types of securities or derivatives products intend to trade 7. Date when trading of securities or derivatives products is scheduled to begin 8. Whether or not to succeed the membership of the member who has withdrawn
Pursuant to Article 5 of the Membership Regulation of the Korea Exchange, we hereby apply for the membership of the Korea Exchange as indicated above. Date Name of Company Representative (seal/signature) To: Chairman of the Korea Exchange

* Documents attached:

1. Article of incorporation
2. [Deleted on November 14, 2014]
3. Document proving the permit (including the preliminary permit) for investment brokerage business or investment dealing business or document proving the application for such permit (limited to those who directly applied for the permit without obtaining the preliminary permit)
4. [Deleted on December 22, 2011]
5. Document showing the net working capital ratio, net capital ratio or management guidance ratio as of the application date
6. Document stating the financial conditions pursuant to [§12] of the Enforcement Rules of the Membership Regulation
7. Document describing the computing facilities
8. Document explaining the availability of professional manpower
9. Document showing the names and shareholdings of principal shareholders (referring to the principal shareholders pursuant to Subparagraph 5 of Article 2 of the Enforcement Decree of the Financial Investment Services and Caporal Markets Act)
10. Document describing the branch offices or other business offices (including the business offices located in overseas)
11. In addition, other documents required for review of the application for membership, which the Korea Exchange specifies.

[Annex: Form 2] Application for Membership Withdrawal

(Amended on February 2, 2009; September 25, 2015; August 3, 2020; July 20, 2023)

Application for Membership Withdrawal
1. Name of member 2. Membership to be withdrawn • Securities membership(): Clearing membership(), Non-clearing membership() • Equity securities membership(): Clearing membership(), Non-clearing membership() • Collective investment securities membership(): Clearing membership(), Non-clearing membership() • Debt securities membership() • Derivatives membership(): Clearing membership(), Non-clearing membership() • Equity derivatives membership(): Clearing membership(), Non-clearing membership() • Currency-Interest rate derivatives membership(): Clearing membership(), Non-clearing membership() 3. Reasons for withdrawal 4. Date when the membership to be withdrawn 5. Plan about clearing of unsettled trades
Pursuant to Article 10 of the Membership Regulation of the Korea Exchange, we hereby submit the application for membership withdrawal of the Korea Exchange as indicated above. Date Name of company Representative (seal/signature) To: Chairman of the Korea Exchange
* Documents attached: 1. Document concerning the reasons for withdrawal 2. Business plan related to the membership withdrawal 3. Plan for tidying up the work with the clearing member or non-clearing member in accordance with the agreement for settlement entrustment 4. In addition, the documents required for the application for membership withdrawal, which the Korea Exchange specifies.

[Annex: Form 3] Application for Membership Conversion

(Amended on February 2, 2009; September 25, 2015; August 3, 2020)

Application for Membership Conversion 1. Name of member 2. Address of head office 3. Name, date of birth and address of the representative (executive officer) of the member 4. Equity capital 5. Category of membership to be converted • Before conversion: • After conversion: 6. Reasons for membership conversion 7. Scope of securities or OTC derivatives products after the conversion
Pursuant to Article 16 of the Membership Regulation of the Korea Exchange, we hereby request the membership conversion as indicated above. Date Name of member Representatives (seal/signature) To: Chairman of the Korea Exchange
* Documents attached: 1. Document about the reasons for conversion 2. Document on net working capital ratio, net capital ratio or prudential ratio as of the application date 3. Document stating the financial conditions pursuant to [§12] of the Enforcement Rules of the Membership Regulation 4. Document describing the computing facilities 5. Document explaining the professional manpower 6. Document concerning the conclusion or termination of agreement for settlement entrustment In addition, the documents required for the review of application for membership conversion, which the Korea Exchange specifies.